ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

k) Current Liabilities

Estimated liability has been provided where actual liability could not be measured.

l) Balance Confirmations

Balance confirmation/reconciliation is carried out for cash &bank balances, certain loans & advances, long term liabilities and current liabilities. Provision is taken against all doubtful unconfirmed balances.

m) Significant accounting policy

Significant accounting policy (Note-2) has been prepared to elucidate the accounting policies adopted by the Company in accordance with Indian Accounting Standards (Ind ASs) notified by Ministry of Corporate Affairs (MCA) under the Companies (Indian Accounting Standards) Rules, 2015.

n) Leases

i) M/s. Imperial Fastners Pvt. Limited, in terms of lease agreement, has been granted a right to occupy and use the Land and P&M assets of the Company. The cost of gross carrying amount of the asset is Rs. 80.19 Crores (PY Rs. 80.19 Crore) and progressive depreciation there on is Rs.77.69 Crores (PY Rs. 77.69 Crore) and WDV is Rs. 2.50 Crores (PY Rs. 2.50 Crore) i.e. reserve value. The future minimum lease payment receivable in aggregate for balance period of lease is Rs. 20.64 Crores. The details of future lease payment receivables are as under:

Particulars		As at 31.03.2021	As at 31.03.2020
(I)	Not later than one year	3.84	3.84
(II)	Later than one year and not later than five years	15.36	15.36
(III)	Later than five years and till the period of lease	1.44	5.28
	Total	**20.64**	**24.48**

ii) Punjab State Electricity Board, in terms of lease agreement, has been granted a right to use 15.50 acres of land of the company. The cost of gross carrying amount of the asset is Rs. 7.90 Crores (PY Rs. 7.90 Crore) and progressive depreciation there on is Rs. 7.90 Crores (PY Rs. 7.90 Crore) and WDV is Nil (PYRs. Nil). The future minimum lease payment receivable in aggregate for balance period of lease is Rs. 2.98 Crores. The details of future lease payments receivable are as under: -

Particulars		As at 31.03.2021	As at 31.03.2020
(I)	Not later than one year	0.19	0.19
(II)	Later than one year and not later than five years	0.77	0.77
(III)	Later than five years and till the period of lease	2.02	2.21
	Total	**2.98**	**3.17**

iii) EIPL, in terms of lease agreement, has been granted a right to occupy and use the Land of the company. The cost of gross carrying amount of the asset is Rs. 4968 (PY Rs. 4968) and progressive depreciation there on is Rs. 4968 (PY Rs. 4968) and WDV is Nil (PY Rs. Nil). The future minimum lease payment receivable in aggregate for balance period of lease is Rs.1.08 Lakhs. The details of future lease payments receivable are as under: -

Particulars		As at 31.03.2021	As at 31.03.2020
(I)	Not later than one year	0.12	0.12
(II)	Later than one year and not later than five years	0.48	0.48
(III)	Later than five years and till the period of lease	0.48	0.60
	Total	**1.08**	**1.20**

ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

o) Segment Reporting

In accordance with the provisions of Ind AS 108 'operating segment', the operating segment used for presenting segment information are identified based on internal report used by Board to allocate resources to the segment and assess their performance. The Board is the group of Chief operating decision maker within the meaning of Ind AS 108.

The Board considers a business from the prospect of significant product offering and accordingly has decided that presently there is one single reportable segment being sale of Coal. Information of financial performance and assets are presented as the consolidated information in the statement of profit and loss and balance sheet.

Revenue by destination is as follows:

(Rs. in Crs.)

Particulars	India	Other countries
Revenue (Net)	11,764.89	Nil

Revenue by customer is as follows:

(Rs. in Crs.)

Customers having more than 10% of Revenue (Net)	Amount	Country
Customer - 1	1,812.28	India
Customer - 2	1,674.54	
Others	8,278.07	
Total Revenue (Net)	11,764.89	

Current Assets by location are as follows:

(Rs. in Crs.)

Particulars	India	Other countries
Current Assets	9,053.57	Nil

p) Disaggregated Revenue information

Particulars	For the year ended 31.03.2021	For the year ended 31.03.2020
Types of Goods or Service		
- Coal	10,774.32	11,642.64
- Others	—	—
Total Revenue from Contract with Customers	**10,774.32**	**11,642.64**
Types of Customers		
- Power Sector	7,949.34	8,210.67
- Non-Power Sector	2,824.98	3,431.97
- Others or Services (CMPDIL)	—	—
Total Revenue from Contract with Customers	**10,774.32**	**11,642.64**
Types of Contracts		
- FSA	7,255.95	8,863.81
- E-Auction	3,518.37	2,778.83
- Others	—	—
Total Revenue from Contract with Customers	**10,774.32**	**11,642.64**

ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

Particulars	For the year ended 31.03.2021	For the year ended 31.03.2020
Timing of Goods or Services		
- Goods transferred at a point of time	10,774.32	11,642.64
- Goods transferred over time	—	—
- Services transferred at a point of time	—	—
- Services transferred over time	—	—
Total Revenue from Contract with Customers	**10,774.32**	**11,642.64**

7. GENERAL

7.1 Refund/Adjustment of tax from Tax Authorities are accounted for on cash basis. Additional demand for Income Tax, Royalty, Cess, Sales Tax, Vat /Entry Tax etc. are accounted for after receipt of final order except as otherwise not recognized under IND AS-37.

7.2 The Government of Jharkhand has demanded Royalty for Rs. 2.79 Crores (PY Rs. 2.79 Crore) in respect of 9 LT non-vendable coal at Rajrappa Area written-off in the year 1989. The company (CCL) preferred an appeal before Commissioner of Mines, Jharkhand but the same was rejected. On rejection, the company filed writ petition WP 1754(c) of 2014 before Hon'ble High Court of Jharkhand and the same is pending till date. Last hearing date was 09.05.2016. Hon'ble High Court has directed Government of Jharkhand to produce documentary evidence in support of their claim which has not been filed till date by the Govt. of Jharkhand.

7.3 (a) There is a long pending dispute over capitalization cost of Rajrappa and Giddi Captive Power Plant, commissioned by EIPL on Built Own and Operate (BOO) basis and the dispute is pending in Civil Appeal No. 7403 of 2009, filed by the Company before the Hon'ble Supreme Court against the Order dated 31.07.2009 of the Jharkhand State Electricity Regulatory Commission duly confirmed subsequently by the Appellate Tribunal also.

(b) Pursuant to Interim Orders of the Hon'ble Supreme Court dated 14.09.12 and 23.11.12 passed in the said Appeal, the Company accounted for a liability of Rs. 94.33 Crores. in 2012-13 upto the period March, 2008. Out of which Rs. 83.03 Crores was paid to EIPL (erstwhile DLF Ltd) as 25% deemed energy charges during the said period. Further, an ad-hoc payment of Rs.75 Crores and Rs.25 Crores were also made on 20.11.13 and 10.01.14 respectively as per directives of the Hon'ble Supreme Court. As directed by the Hon'ble Supreme Court revised amount payable from April'08 to March'14 was calculated based on the methodology adopted by JSERC in determining the revised tariff up to the period March' 08. Accordingly an amount of Rs.23.25 Crores was provided during the financial year 2013-14 in addition to Rs. 94.33 Crores, which was already provided in the Financial Statements of 2012-13. For the financial year 2014-15, additional liability of Rs. 3.26 Crores has been provided. For the financial year 2015-16 additional liability of Rs. 0.26 Crores has also been provided. The details of balance receivable amount from EIPL are as under :

(i)	Differential Tariff for the period upto March'08-in respect of which liability has been provided in the Financial Statements of 2012-13.	Rs. 94.33 Crores
(ii)	Differential Tariff for the period April'08- to March'14 in respect of which liability has been provided in the year 2013-14.	Rs. 23.25 Crore.
(iii)	Old keep back amount in respect of deemed energy charges	Rs. 31.36 Crores
(iv)	Differential tariff for the year 2014-15	Rs. 3.26 Crores
(v)	Differential tariff for the year 2015-16 (A/C-Rajrappa Area)	Rs. 0.26 Crores
		Rs. 152.46 Crores
	Less : Ad-hoc payment (as per Order of the Hon'ble Supreme Court)	Rs. 183.03 Crores
	Net Balance amount (shown in Note-9 under the head Other Receivables)	Rs. 30.57 Crores

However, EIPL has submitted their demand for Rs.302.63 Crores on 17.09.2012 including Rs. 134.20 Crores on account of interest on delayed payment which is beyond the purview of PPA and the matter is pending before the Hon'ble Supreme Court.

(c) As per clause 1.18.3 of the Power Purchase Agreement with M/s. EIPL, from the date of expiry of one year from commissioning of the respective power plant, increase/decrease of fuel components of tariff due to variation in fuel cost shall be determined. The initial price of rejects as per clause 1.14 of PPA was Rs. 90 per tonne.

Accordingly calculation was made as per clause 1.18.3 of PPA and additional revenue receivable on account of revision in price of rejects net off with additional tariff payable on account of revised tariff due to increase in fuel cost was considered in the Financial Statements for the year 2013-14 and supplementary bill to EIPL was also raised.

Subsequently, during the financial year 2014-15 the price of rejects was again revised based on the recommendations of the CCL standing committee of Sales and Marketing department and the same was communicated to Director(Operation) of DLF Ltd. vide letter Ref. No. GM(E&M)/DLF/14/ 3530-36 dated. 17.11.2014. As per letter, G grade slack coal price which was the lowest grade under UHV system of pricing applicable prior to 01.01.2012 became chargeable for the period from July,2000 to December, 2011 from EIPL. Consequent upon the issue of above letter, Sales bill and power tariff both were revised.

As on 31.03.2016, the amount receivable from EIPL on account of supply of rejects after adjusting enhanced tariff was Rs.38.69 Crores. Further a provision of Rs. 1.64 Cr. was made in the year 2016-17 making total provision to Rs. 40.33 Cr. Due to non-payment of the same, the following action has been taken by CCL.

As per clause 2.6 of the Power Purchase Agreement dated. 8th February, 1993, in the event of any dispute arising out of or in relation to the agreement, the same shall be referred to the sole arbitration of an arbitrator mutually acceptable to CIL & EIPL as per provisions of Arbitration Act. However, as the parties to the agreement failed to mutually agree to the appointment of an arbitrator, the petitioner (CCL) was left with no alternative but to move to the Hon'ble High Court for appointment of an arbitrator in exercising powers under section 11(6) of the Arbitration and Conciliation Act, 1996. As such the Arbitration Application was filed on 7th April, 2016. The Hon'ble High Court of Jharkhand during 2017-18, has appointed Ld. Arbitrator as per Agreement to settle the dispute. Hearing is still pending before Ld. Arbitrator.

7.4 Theft of goods during the year is Rs.0.71 Crores (Previous year Rs.0.26 Crores).

7.5 Compensation Receivable in terms of "Fuel Supply Agreement" (FSA) is accounted for on receipt basis.

7.6 Lease agreement with M/s. IFPL was entered in the year 2005 for a period of 20 years, and is valid up to 2025. As per Agreement, the company will supply washery rejects and IFPL will generate power and supply to Kathara Area. As per the provisions of Lease agreement, IFPL is required to pay Rs. 32 Lakhs per month as Lease rent. IFPL has suspended its operation from July 2018 and also not making payment of Lease rent. As a result, a provision to the tune of Rs.1.60 Crores has been made during the year 2018-19 as the differential amount of lease rental receivables amounting to Rs.4.02 Crores and Power expenses payable to IFPL for Rs. 2.42 Crores. Further provision of Rs.6.72 Crores has also been made towards Lease rental receivable.

7.7 In terms of Memorandum of Understanding signed on 07.05.2015 between Central Coalfields Limited (CCL), IRCON International Limited (IRCON) and the Govt. of Jharkhand (GoJ) for development, financing and implementation of Railway Infrastructure works in the State of Jharkhand, a Subsidiary Company named as "Jharkhand Central Railway Limited"(JCRL) was incorporated on 31.08.2015 under the Companies Act, 2013 with an authorized capital of Rs. 5.00 Crores, which has subsequently been increased to Rs. 500.00 Crores. The committed equity share holding pattern, as per MOA, of CCL, IRCON International Limited and Govt. of Jharkhand is 64%, 26% and 10% respectively. As on Balance sheet date, JCRL has allotted shares to the value of Rs.64.63 Crores to the company, Rs. 13.00 Crores to IRCON International Limited and Rs.10.10 Crores to Government of Jharkhand and thus the paid-up capital of JCRL as on 31.03.2021 is Rs.87.73 Crores.

CCL has prepared Consolidated Financial Statements in addition to its Standalone Financial Statements for compliance of the Section 129(3) of the Companies Act, 2013.

JCRL has earned a Profit before tax of Rs.2.16 Crores [P.Y. Rs.1.77 Crores] for the year ended 31st March 2021.

7.8. JCRL Board in its 24th Board Meeting held on 24.10.2019 decided to increase its paid-up capital and to adjust advance of Rs.136.59 Cr paid by CCL against amount of Rs. 282.88 Cr payable towards equity contribution. CCL Board in its 485th meeting held on 04.05.2020 has also accepted the same.

However, CCL Board in its 491st meeting held on 24.09.2020 directed the concerned department to analyse long term financial impact of mode of investment in JCRL i.e. in the form of Equity contribution or Interest free Advance.

7.9 CCL has entered into a Lease Agreement with East Central Railway for use of Railway Land for construction of Konar Siding under Bokaro & Kargali Area vide Agreement No. W466/Land lease/Konar Siding Dt. 05/06/2017. The Lease Agreement is for a period of 35 years from 01.04.2016. CCL has deposited one time Lease rental for entire period amounting to Rs. 27.19 Crores to E.C. Railway. The amount paid as Lease rentals is shown under the head ‘ Right to Use (Lease)’ in Note 3, Property, Plant & Equipment as per the requirement of Ind As 116.

7.10 For the purpose of valuation of inventories, power cost has been distributed on the basis of internal departmental certificate to the units of the area in absence of actual consumption details.

7.11 Inventory of Stores & Spares are being physically verified by Store Auditors at due intervals. However, due to Covid 19 pandemic, the verification could not be done during the year.

7.12 A) Consequent upon the agreement made with Coal India Limited and President of India for allocation of coal block Kotre Basantpur and Panchmo Coal Blocks under Coal Mines (Special Provisions) Act, 2015, and subsequent allocation to CCL for operation and commercial use of mines, the company (CCL) has deposited 50% of Upfront fees amounting to Rs.20.65 Crores and fixed amount for Rs.9.91 Crores as security deposit and has furnished a Performance Bank Guarantee (Performance Security) amounting to Rs. 286.14 Crores, in designated bank account of Nominated Authority for allotment. Rs. 40.88 Crores (upfront fees Rs. 30.97 Crores and Security deposit Rs. 9.91 Crores) is appearing under Exploration Evaluation Assets in Note-5. As the conditions of prescribed guidelines for making payment of 3rd instalment have not yet been fulfilled, the balance amount of Rs. 10.33 Crores is shown under Capital Commitment.

B) BG has been issued in favour of Member Secretary, Jharkhand State Pollution Control Board for an amount of Rs. 145.77 Crs. in respect of selected Dhori GoM, Dhori Area & Karo OCP, B&K Area to comply with the notification Dated 14.03.2017 of Ministry of Environment & Forest.

C) BG has been issued in favour of Assistant Electrical Engineer, Electrical Supply Sub Station Chatra JBVNL for an amount of Rs. 0.81 Crs. in respect of Amrapali OCP (Binglat) & Magadh OCP (Kundi Patch) against load sanction order no 1957/ESE(S) Hazaribagh dt 22.11.2019 & 1955/ESE(S) Hazaribagh dt 22.11.2019 issued by Electrical Supdt. Engg. Electrical Supply Circle, Hazaribagh.

7.13 The Hon’ble Supreme Court of India, in Transferred Case (CIVIL) No. 43 of 2016 vide order dated 13.10.2017 has held that DMF will be applicable in the State of Jharkhand on and from the date of establishment of DMF Trust i.e. 07.12.2015. Accordingly, the amount of Rs. 286.31 Crores deposited with the State Govt. relating to the period prior to 07.12.2015 shall be refunded/ adjusted from the DMF payable by the company. Out of the said amount a sum of Rs.236.51 Crores has already been adjusted and balance amount of Rs.49.80 Crores is yet to be got refunded/ adjusted from the State Government. As per directive of State Govt., Areas have submitted their claim to the respective DMO for getting Refund /adjustment.

7.14 Against the demand of Income Tax Department regarding TCS from Road Sales Customers under section 206 C of the Income Tax Act, 1961, amounting to Rs. 106.56 Crores, the department has collected Rs. 71.79 Crores by attaching the bank account of the company and the balance amount of Rs.34.77 Crores has been deposited by the company. The company in turn has recovered Rs.77.53 Crores from the customers as on balance sheet date and the balance Rs. 29.03 Crores is under process of recovery..

Out of Rs. 29.03 Crores Rs. 26.85 Crores relates to the demand raised for the overlapping period i.e. In FY 2012-13 the alleged TCS liability of the period April,2012 to August, 2013 i.e. for 17 months, Whereas, it should have been taken From July, 2012 to up to March, 2013 i.e. for 9 months only. In FY 2013-14 the alleged TCS liability of the period April, 2013 to August, 2014 i.e. for 17 months was taken, Whereas, it should have been taken up to March, 2014 for 12 months only. Similarly, for FY 2017-18 the order of alleged TCS liability of the period April, 2017 to July, 2017 i.e. for 4 months was passed. But figures were taken up to August, 2017. As TCS was implemented on coal w.e.f. 01.07.2012, a rectification petition U/S 154 of Income Tax Act, 1961 has already been filed to rectify the error but till date hearing has not yet started in spite of giving several reminders to the department. A writ petition, W.P. (T) No. 4380 of 2020 was filed before Jharkhand High Court for instructing CIT (Appeals) to pass the final order expeditiously. Jharkhand High Court while deciding this Writ Petition had directed CIT (Appeals) to decide the issue within a period of two months starting 10.03.2021. The CIT (Appeals) has passed the final order on the impugned issue on 22/03/2021 wherein facts and submissions made by CCL were dismissed.

CCL is going to challenge the original demand Order amounting to Rs 106.56 Crore before Income Tax Appellate Tribunal (ITAT).

7.15 Pursuant to the notification No. G.S.R. 463(E) dated 24th July, 2020 the definition of Materiality has been substituted in Ind AS 1, Presentation of Financial statements. Accordingly, the policy on Materiality in significant Accounting policy has been modified. However, there is no financial impact of the aforesaid change.

7.16 CCL used to supply Washed Medium Coking Coal (WMCC) to M/S SAIL & RINL at the price mutually agreed in MOU entered between CCL & SAIL / RINL, duly signed by the representatives of CCL & SAIL/ RINL. The last such MOU was valid upto 31.03.2017. As per CIL's guidelines, CCL notified the price of WMCC as Rs. 11,500 per tonne with effect from 14/01/2017 in compliance with doctrine of Import Parity as envisaged by New Coal Distribution Policy (NCDP) of Government with bonus/penalty clause variable in line with ash content.

As the MOU was valid up to 31/03/2017, but the Price Notification was issued on 14/01/2017, a provision for the period from 14/01/2017 to 31/03/2017 for the difference of MOU price and Notified price on the quantity despatched, amounting to Rs. 155.80 Crores (Rs. 126.16 Crores in respect of SAIL and Rs.29.64 Crores in respect of RINL) has been made in the accounts during the year 2018-19.

After repetitive requests of M/S SAIL, CCL Board in its meeting dated 28/07/2018 agreed to supply WMCC at an ad hoc price of Rs. 6,500 per tonne with a condition that the report of an external agency to be appointed/engaged for establishment of fair and transparent Price Determination Mechanism shall be applicable and SAIL/RINL has agreed with the decision of CCL Board. Accordingly work order no. Washery(CCL)/WO/Price Mechanism (WMCC)/2019/745-50 dated 08.07.2019 has been issued to M/s. PWC Pvt. Ltd to review the existing price mechanism for washed medium coking coal (WMCC). Report has been submitted by M/s. PWC Pvt. Ltd. which is under consideration by CCL Board.

7.17 DFO, Hazaribagh vide letter no 1320 dated 21.03.2020 again raised revised demand of Rs. 14.66 Cr. i.e. Rs. 2.68 Cr. for CA , Rs. 4.96 Cr. for NPV & Rs. 7.02 Cr. for Wild life plan and DFO, Chatra vide letter no 713 dated 7.03.2020 raised revised demand of Rs.13.93 Cr. for CA, Rs. 24.65 Cr. for NPV & Rs. 17.11 Cr. for Wild life plan i.e. Total Rs. 55.69 Cr.

The above demand was paid in full by JCRL. Meanwhile DFO, Hazaribagh vide letter no 1579 dated 1.4.2021 and DFO, Chatra vide letter no-949 dated 24.3.2021 demanded revised additional amount of Rs 0.67 Cr. and Rs 2.00 Cr. respectively towards increase in current labour wages. Total amount to be deposited is Rs 2.67 Cr. The same is under process of payment by JCRL.

7.18 The Secretary to Government, Revenue, Registration and Land Reforms Department, Government of Jharkhand vide his Letter No. 5/Sa.Bhu (CCL) Ramgarh- 303/2012-519 (5)/Ra. Dated 07/02/2020 to The Chairman, Coal India limited has raised a demand of Rs. 26,218.15 crores against 36179.30 acres of Government land under the command area of CCL. The demand comprises of Rent, Cess and Salami as lease bandobasti of land for lease period.

Land is acquired by CCL as per notification issued by Central Government under Section 9(1) of CBA (A&D) Act, 1957 and physical possession is taken under Section 12 of CBA (A&D) Act, 1957 which is free from all encumbrances. Accordingly, CCL didn't agree with the demand raised by state government. However, a meeting was held on 30.07.2020 between Hon'ble Minister of Coal & Hon'ble Chief Minister of Jharkhand to resolve the issue and as per the decision taken in the meeting, the company agrees to pay land compensation at present rural agricultural circle rate against Govt. Land to the Govt. of Jharkhand.

The tentative liability for land compensation based on present rural agricultural rate comes to Rs. 778.62 Crore for 5392.75 acres of Govt land and CCL released an adhoc payment of Rs. 550.00 Crore. The tentative liability of Rs. 778.62 Crore has been capitalised as Other Land under PPE which is subject to verification by district officials.

7.19 Due to imposition of Covid Cess @ Rs. 10 per Tonee by State Govt. on sale of coal, w.e.f. 6th July 2020 Gross Sale as well as Gross levies increased by Rs. 53.64 Cr.

Due to imposition of Forest Transit Fee @ Rs. 57 per Tonee by State Govt. on sale of coal w.e.f. 1st October 2020 Gross Sale as well as Gross levies increased by Rs. 219.49 Cr.

In compliance of the directive of CIL Board Meeting No. 415th item No. 4 Dated 24.12.2020, Company capitalised GST on Capital Goods w.e.f. 1st April 2020. Such capitalisation results in reduction in GST Receivable by Rs. 19.02 Cr. And consequent increase in PPE by the same amount & incremental depreciation has been charged on such PPE amounting to Rs. 0.70 Cr.

7.20 The Company has considered the possible effects that may arise out of the still unfolding COVID-19 pandemic in the preparation of the quarterly results including the recoverability of carrying amounts of financial and non-financial assets. The Company has used internal and external sources of information, economic forecasts etc. and the following impacts has been observed-

a) The company expects that the carrying amount of the financial and non-financial assets will be recovered. Hence, no impairment has been recognised during the period.

b) Impact on demand of coal and impact on sales and expectations

c) Impact on profitability of the company and expectations

d) Impact on Liquidity (for e.g. delay in realisation from debtors) and future expectation

During this year ended 31.03.2021 demand of coal/sales, profitability and liquidity have been significantly affected due to COVID-19 pandemic lockdown and restrictions imposed by government. However, after relaxation in restrictions imposed by government, the company is gradually regaining its business operations to its normal and there is no impact on company's going concern.

The company will continue to closely monitor any material changes arising from future conditions and its impact on the business.

Others

i. Previous year's figures have been restated, regrouped and rearranged wherever considered necessary.

ii. Previous Year's figures in Note No. 3 to 38 are in brackets.

iii. Note –1 and 2 represents Corporate information and Significant Accounting Policies respectively, Note 3 to 23 form part of the Balance Sheet as at 31st March, 2021 and 24 to 37 form part of Statement of Profit & Loss for the year ended on that date. Note – 38 represents Additional Notes to the Financial Statements.

Sd/-	Sd/-	Sd/-	Sd/-
(Ravi Prakash)	(J. P. Vishwakarma)	(N. K. Agrawal)	(P. M. Prasad)
Company ecretary	General Manager (Finance)	Director (Finance)	Chairman-cum-Managing Director
		DIN- 0008525175	DIN- 08073913

In terms of our Report of even date
For **K. C. Tak & Co.**
Chartered Accountants
(Firm Reg.No. 000216C)

Sd/-
(Anil Jain)
Partner
(Membership No. 079005)

Place : Ranchi
Dated : 04 June, 2021
UDIN: 21079005AAAAAR2632

ADDENDUM TO DIRECTORS' REPORT

AUDITORS' REPORT & MANAGEMENT REPLY ON CONSOLIDATED FINANCIAL STATEMENT

AUDITORS' REPORT	MANAGEMENT'S REPLY

To

The Members

Central Coalfields Limited,

Report on the Audit of Consolidated Ind AS financial statements

Opinion

We have audited the accompanying consolidated Ind AS financial statements of **Central Coalfields Limited** (hereinafter referred to as the 'Holding Company") and its subsidiary **Jharkhand Central Railway Limited** (Holding Company and its subsidiary together referred to as "the Group"), its associates and jointly controlled entities, which comprise the consolidated Balance Sheet as at March 31, 2021, and the consolidated statement of Profit and Loss (including other comprehensive income), the consolidated statement of changes in equity and the consolidated cash flows Statement for the year then ended, and notes to the consolidated Ind AS financial statements, including a summary of significant accounting policies (hereinafter referred to as "the consolidated Ind AS financial statements"). In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated Ind AS financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of their consolidated state of affairs of the Group as at March 31, 2021, of consolidated profit, consolidated changes in equity and its consolidated cash flows for the year then ended.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Ind AS financial statements section of our report. We are Independent of the Group in accordance with the Code of Ethics issued by ICAI, and we have fulfilled our other ethical responsibilities in accordance with the provisions of the Companies Act, 2013. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section

AUDITORS' REPORT	MANAGEMENT'S REPLY
143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the standalone Ind AS Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone Ind AS financial statements	
Emphasis of Matters	
We draw attention to the following matters:	
a) Contingent liability of Rs. 13568.50 crores (Previous year- Rs. 13568.50 crores), towards penalty for mining of coal in excess of the environmental clearances limit in respect of 42 mines. (Note No 38 refer para 4(a)(I) to the Consolidated Ind AS financial statements)	It is adequately disclosed under Contingent Liability in the Additional Note to the Financial Statements(Refer 4(a) of Note-38)
b) Balances of Loans, other financial assets, other current & non-current assets, trade payables, other financial liabilities and other current liabilities have not been confirmed in most of the cases. Consequent impact on confirmation / reconciliation/ adjustment of such balances, if any, is not ascertainable.	Balance confirmation letters have been issued to the parties in respect of trade receivables, trade payables and advances. The balances with major sundry debtors are reconciled at regular intervals and Joint Reconciliation Statements are also signed by both the parties.
c) Washed medium coking Coal (WMCC) was being supplied by CCL at mutually agreed price under an MOU to M/s SAIL & M/s RINL. However, no MOU has been signed between CCL & SAIL/RINL for the Financial Year 2017-18 and onwards. From 1/4/2017, the price of WMCC has been revised quarterly, using an import parity-based Pricing Mechanism adopted by CCL as envisaged under New Coal Distribution Policy (NCDP) under which the CCL has been raising invoices to SAIL/RINL as per notified price. Due to non-execution of MOU for the Financial Year 2017-18 and onwards, SAIL/RINL requested to appointed an external agency for price fixation mechanism. CCL decided to appoint an External Agency for fixation of a transparent import parity-based price mechanism & has appointed PWC for the same, and under an interim arrangement w.e.f 28/07/2018, CCL agreed to supply WMCC at an ad hoc price of Rs 6500/- per tonne. Pending fixation of a transparent import parity-based price mechanism by external agency, SAIL had requested to implement the recommendations of external agency to be made applicable from 01/04/2017 instead of 28.07.2018. However, CCL	It is adequately disclosed under Additional Notes to the Financial Statements (Refer Point No. 7.16 of Note-38)

	AUDITORS' REPORT	MANAGEMENT'S REPLY
	decided that the price as determined by External Agency shall be applicable w.e.f. 28/07/2018 and not retrospectively and accordingly, sales prior to applicability of ad hoc price, has been recognized at the quarterly revised notified price. (Para 7.16 to Note 38 to the Consolidated Ind AS financial statements). In view of the above, no adjustments have been done for the amount remaining unpaid for the difference in price against the supplies made of WMCC by CCL to SAIL/RINL for the period from 01/04/2017 to 30/06/2018 amounting to Rs. 414.87 Crores.	
d)	Pending analysis of grade of Contaminated clean coal of 83795 MT is lying at Kathara Washeries since 1995-96 presently valued at NIL (Annexure to Note No. 12 to the Consolidated Ind AS financial statements).	It is adequately disclosed under foot note no. 4 of Annexure to Note-12.
e)	We draw attention para 7.20 to Note 38 to the Consolidated Ind AS financial statements, which explain the impact of COVID-19 pandemic on the Group's operation and the results as assessed by the management. Our opinion is not modified in respect of the above matter.	It is adequately disclosed under Additional Notes to the Financial Statements (Refer Point No. 7.20 of Note-38)
f)	Refer to Para 7.18 to Note 38 to the Consolidated Ind AS financial statements. Government of Jharkhand has raised a demand of Rs. 26218.15 crores against 36179.30 acres of Government land, under the command area of CCL. The tentative liability as computed by the CCL for compensation of Govt. Land subject to verification by state Authorities is Rs. 778.62 Cr. against 5392.75 acres of land. However, pending reconciliation with the state authorities, Jharkhand Govt., the total final liability payable against the compensation of Land, is presently not ascertainable. Our opinion is not modified in respect of the above matter.	It is adequately disclosed under Additional Notes to the Financial Statements (Refer Point No. 7.18 of Note-38)
g)	The company has not recognised liability based on actuarial valuation for CPRMS-NE for "On roll Non- executive employees". The amount is not ascertainable. (Refer to Para 3.3 & Note 38 to the Consolidated Ind As financial statements). Our opinion is not modified is respect of the above matter.	The actuarial Liability for on roll non-executive employees will be carried from the financial year 2021-22.

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Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Ind AS financial statements of the current period. These matters were addressed in the context of our audit of the Consolidated Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sl.	Key Audit Matter	Auditor's Response
1.	**Stripping Activity Expense/ Adjustment** In case of opencast mining, the mine waste materials ("overburden") which consists of soil and rock on the top of coal seam is required to be removed to get access to the coal and its extraction. This waste removal activity is known as 'Stripping'. In opencast mines, the company has to incur such expenses over the life of the mine (as technically estimated). Therefore, as a policy, in the mines with rated capacity of one million tons per annum and above, cost of Stripping is charged on technically evaluated average stripping ratio (OB: COAL) at each mine with due adjustment for stripping activity asset and ratio-variance account after the mines are brought to revenue. Net of balances of stripping activity asset and ratio variance at the Balance Sheet date is shown as Stripping Activity Adjustment under the head Non-Current Provisions / Other Non-Current Assets as the case may be. The report ed quantity of overburden as per record is considered in calculating the ratio for OBR accounting where the variance between reported quantity and measured quantity is within the permissible limits. However, where the variance is beyond the permissible limits as above, the measured quantity is considered. Refer Not e 21 to the Consolidated Ind AS Financial Statements.	**Principal Audit Procedures** We performed the following substantive procedures: Obtained working data of Stripping Adjustment and checked that the total expense incurred during the year is allocated between Coal production and Overburden. Ensured about accuracy and completeness of expenses considered in calculation of ratio. Checked that the ratio variance is calculated on the basis of amount allocated to overburden and OB quantity extracted during the year correctly. Performed an al ytical procedures and test of details for reasonableness of expenses considered stripping activity adjustment calculation. Checked that the accounting policy applied and management's judgments used for Stripping Activity Adjustment are appropriate. **Audit Conclusion:** Our procedures did not identify any material exceptions.

No Comments.

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2.	**Ind AS 115 "Revenue from Contracts with Customers"** In the Consolidated Ind AS financial statements in respect of accuracy of revenue recognition and adjustments for coal quality variances involves critical estimates. The revenue recognized by the Company in a particular contract is dependent on the sale agreement / allotment in e-auction for the respective cust omer . Subsequent adjustments are made to the transaction price due to grade mismatch/ slippage of the transferred coal. The variation in the contract price if not settled mutually between the parties to the contract is referred to third party testing and the company estimates the adjustments required for revenue recognition pending settlement of such dispute. Such adjustments in revenue are made on estimated basis following historical trend. Refer to Note 24. to the Consolidated Ind AS Financial Statements.	**Principal Audit Procedures:** We have assessed the ap plication of the provisions of Ind AS 115 in respect of the Company's revenue recognition and appropriateness of the estimated adjustments in the process. We have select ed transactions on sample basis and tested for identification of contracts involving disputes relating to grade mismatch/ slippage with respect to the terms of the contract, evaluation of the satisfaction of performance obligation, checking the adjustment to the revenue due to variation in transaction price We have performed tests to est ablish the basis of estimation of the consider at ion and whether such estimates are commensurate with the accounting policy of the Company. **Audit Conclusion:** Our procedures did not i de n ti fy an y ma te ria l exceptions.	No Comments.
3	**Assessment of provisions and contingent liabilities** in respect of certain litigations including direct and indirect taxes, various claims filed by other parties not acknowledged as debt. A high level of judgment is required in estimating the level of provisioning. The company's assessment is supported by the facts of matter, their own judgment, past experience, and advice from legal and independent tax consultant wherev er cons idered ne ce ssary. Accord ing ly, unexpected adverse outcomes may significantly impact the company's reported profit and net assets. Associated uncertainty relating to the outcome requires application of judgment in interpretation of law. Refer Note 38 para 4(a)(I) to the Consolidated Ind AS Financial Statements.	**Principal Audit Procedures:** Our audit was focused on analyzing the facts of subject matter under consideration and judgments/ interpretation of relevant law. • Examining recent orders and/or communication received f rom various Tax authorities/ judicial forums and follow up action thereon. • Understanding the current status of the litigation/tax assessments • Evaluating the merit of the subject matter under consideration with reference to the grounds presented therein and a vailable independent legal/ tax advice • Review and analysis of the contentions of the company t hr ough disc us s ion, collection of details of the subject matter under consideration, the likely outcome and consequent potential outflows on those issues. Audit Conclusion: Our procedures did not i de n ti fy an y ma te ria l exceptions.	No Comments.

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4.	**Modified Audit Procedures carried out inligh to f COVID-19 Pandemic:** In view of the Government imposed lockdown due to Covid-19, strict timeline to conclude audit & travel restrictions to visit the area office to examine the original documents and records during the period of our audit, the audit was conducted through remote location wherever physical access was not possible. As we could not gather audit evidence in person or physically or through discussions and personal interactions with the officials at these Branch/ Areas, we have identified such modified audit procedures as a Key Audit Matter. Due to the COVID-19 pandemic that caused lockdown and other travel restrictions imposed by the state governments/ local administration during the period of our audit, we could not travel to some of the Branch/ Areas and carry out the audit processes physically at the respective offices. Wherever physical access was not possible, necessary records, reports, documents and certificates were made available to us by the unit through digital medium and emails. To this extent, the audit process was carried out on the basis of such documents, reports and records digitally made available to us which were relied upon as audit evidence for conducting the audit and the opinion expressed based on information, facts and scanned documents made available by the management while reporting for the current period. Such restrictions in performing audit procedures have enhanced the risk in effectively carrying out the audit and the quality of audit evidence gathered by us. Accordingly, we modified our audit procedures	**Principal Audit Procedures:** • Conducted verification of necessary records and documents electronically through remote access vide emails in respect of some of the Branch/ Areas wherever physical access was not possible. • Carried out verification of scanned copies of the documents, deeds, certificates and the related records made available to us through emails. • Making enquiries and gathering necessary audit evidence through dialogues and discussions over phone calls/conference calls, emails and similar communication channels. • Resolution of our audit observations telephonically/ through email instead of a face-to-face interaction with the designated officials. **Audit Conclusion:** Our procedures did not identify any material exceptions.	No Comments.

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Information Other than the Consolidated Ind AS Financial Statements and Auditor's Report Thereon The Company's management and Board of Directors are responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexure to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the Consolidated Ind AS financial statements and our auditor's report thereon. Our opinion on the Consolidated Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the Consolidated Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Ind AS financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. As the Other Information has not been provided to us, we have nothing to report in this regard. When we read the Annual report, which is expected to be made available to us after the date of this auditors' report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.	
Responsibilities of Management and Those Charged with Governance for the Consolidated Ind AS financial statements The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated Ind AS financial statements in term of the requirements of the Companies Act, 2013 that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows of the Group including its Associates and Jointly controlled entities in accordance with the accounting principles generally accepted in India, including the Accounting Standards	

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specified under section 133 of the Act. The respective Board of Directors of the companies included in the Group and of its associates and jointly controlled entities are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated Ind AS financial statements by the Directors of the Holding Company, as aforesaid. In preparing the consolidated Ind AS financial statements, the respective Board of Directors of the companies included in the Group and of its associates and jointly controlled entities are responsible for assessing the ability of the Group and of its associates and jointly controlled entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so. The respective Board of Directors of the companies included in the Group and of its associates and jointly controlled entities are responsible for overseeing the financial reporting process of the Group and of its associates and jointly controlled entities.	
Auditor's Responsibility for the Audit of the Consolidated Ind AS Financial Statements	
Our objectives are to obtain reasonable assurance about whether the consolidated Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, Individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated Ind AS financial statements.	

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As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Consolidated Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Group has adequate internal financial controls system in place and the operating effectiveness of such controls
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Ind AS financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Ind AS financial statements, including the disclosures, and whether the Consolidated Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

  Materiality is the magnitude of misstatements in the Consolidated Ind AS financial statements that, Individually or in aggregate, makes it probable that the economic decisions of a reasonably

AUDITORS' REPORT	MANAGEMENT'S REPLY
knowledgeable user of the Consolidated Ind AS financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Ind AS financial statements. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding Independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our Independence, and where applicable, related safeguards. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Ind AS financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.	
Other Matter	
(a) We did not audit the financial statements / financial information of subsidiary company, whose financial statements / financial information reflect total assets of Rs.282.45 Cr. as at 31st March, 2021, total revenues of Rs. 2.24 Cr. and net cash flows amounting to Rs. (36.71) Cr. for the year ended on that date, as considered in the consolidated Ind AS financial statements These financial statements / financial information have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the consolidated Ind AS financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, jointly controlled entities and associates, and our report in terms of sub-sections (3) and (11) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, jointly controlled entities and associates, is based solely on the reports of the other auditors.	No Comments.

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(b) In CCL, as per the accounting policy "company stipulates the defined contribution plan in which company pays fixed contribution into the fund i.e., Coal Mine Provident Fund constituted under an enactment of law. The Coal Mines Provident Fund and Miscellaneous Provision Act 1948 stipulates that employee deployed in a coal mine should have to be registered under Coal Mines Provident Fund and Coal Mines Pension Scheme regulated under the above act. The coal workers deployed by company in departmental mode are employees of company and are registered under the above act. However, the coal workers deployed in company's mines by its outsourcing contractors are registered under Employee Provident Fund (EPF) which is deviation & Non-compliance of provision of above Act. The matter is being dealt by CIL as a whole.	The matter has been taken up at CIL.
(c) Provision for Leave Encashment is assessed & certified by authorized actuary on the basis of data related to No. of employees, no. of leaves credited as on date & basic salary of the employees provided by CCL. As on 31st March 2021, Basic data of around 1503 no. of employees are having Negative leave balance in their leave account due to non- updation of leave balances of employees. As per information & explanation provided by the management, in respect of above irregularity, capturing of Employee master data has already been taken up & ERP implementation is under process.	The matter is under consideration. About 600 cases has already been rectified. However, ERP implementation is in process and Employee master data is being captured. ERP System is expected to go live by Sept. 2021 and will not accept any negative leave balance.
(d) As per the clause 9.2 of Model Fuel Supply Agreement (FSA) & clause 8.2 of FSA with NTPC plants, it allows to charge coal transportation charges against the supply of coal to its customer located beyond the distance of 3 kms. CCL is charging the coal transportation charges for lead range of 0-3 km also in respect of such customers. However, some of the areas of NTPC has disputed the claims of transportation charges for the part of lead range of 0-3 kms taking plea of FSA clause. The matter is taken up by CIL for resolution of dispute. As such, as explained by management the outstanding from the plants are recoverable and therefore provision, if any will be made after the outcome of AMRCD decision. Therefore, no adjustment have been done for the amount of Rs. 1.94 Cr. as disputed by NTPC.	The matter has been taken up by CIL at AMRCD on behalf of all the subsidiaries for resolution of dispute.
(e) Contingent liability includes Rs. 809.10 crore (P.Y. Rs. 809.04 crore) disputed income tax demands. This amount consists of principal and interest up to date of demand. The interest for the period from date of notice of demand to date of Balance Sheet has neither been calculated nor included in contingent liability. (Note No 38 refer para 4(a)(I) to the Consolidated Ind AS financial statements.)	The management has reviewed contingent liability and disclosed it in financial statements as per requirement of Ind As-37. However, due to Covid-19 restrictions imposed by state govt, legal opinion could not be obtained.

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(f) In case of Piparwar Area, there is a liability of Rs 768.58 lacs towards Provident fund at the year end, out of which Rs 724.24 lacs has been paid in April 2021 leaving an unpaid balance of Rs 44.34 lacs according to the management is a liability relating to earlier years subject to reconciliation	The dues are under reconciliation.
(g)We have placed reliance on:	
I. The mine closure plan prepared by the Central Mine Planning and Design Institute Limited (CMPDIL) and approved by the management of the CCL for the purpose of making provision towards Mine Closure expenses.	
II. The Management's evaluation/estimates, whether technical or otherwise for making the provision towards impairment of fixed assets.	
(h) Our Report on the consolidated Financial Statements dated June 04, 2021 as approved by the Board of Directors of the Company is revised to incorporate observations by the Comptroller and Auditor General of India and amendments to add points '(g)' read as 'The company has not recognized liability based on actuarial valuation for CPRMS-NE for "Onroll Non-executive employees". The amount is not ascertainable. (Refer to para 3.3 of Note 38 to the Consolidated Ind AS financial statements) under the "Emphasis of Matters" Paragraph, and to replace the number of employees to read as 1503 no. of employees in place of 1173 no. of employees in point 'c' and to add the para at the end of point 'd' to include 'As such, as explained by management the outstanding from these plants are recoverable and therefore provision, if any, will be made after the outcome of AMRCD decision. Therefore, no adjustments have been done for the amount of Rs. 1.94 Cr. as disputed by NTPC.' & adding point (h) {this para}" under the "Other Matters Paragraph", and amendment made in Para (1) of Annexure 'A' in auditor's reply column of S. No. 2 under Part II -Additional directions, to amend & replace with the para to read as "There is no such case of Split & merger/ re-structure of an area during the year,	

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except restructure of the Magadh & Amrapali Area into two separate areas namely "Magadh & Sanghmitra Area" and "Amrapali & Chandragupta Area", notification for which was issued as on 31.10.2010 by Empowered Committee of Functional Directors (ECFD) of CCL and is under process.' and amendments made in Para (3)(a) to replace the words with "clauses (a), (b), (c), (d), (e), (f) & (g)" instead of "clauses (a), (b), (c), (d), (e) & (f)" under "Report on other Legal & Regulatory Requirements".

This audit Report no impact on the reported figures in the Consolidated financial statements of the Company. This audit report supersedes the original audit report on Consolidated financial statements dated June 04, 2020.

Our audit procedures on events subsequent to the date of original report is restricted solely to the addition of para (g) under the "Emphasis of Matters" Paragraph & amendments/addition in point (c), (d), & point (h) {this para}" under the "Other Matters Paragraph" and in Para (1) of Annexure 'A' in auditor's reply column of S. No. 2 under part II, -Additional directors" and in Para (3)(a) of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Consolidated Financial Statements.

Our report on the consolidated Ind AS financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements / financial information certified by the Management.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(5) of the Act, directions and As required under Section 143(5) of the Companies Act, 2013, we give in the **"Annexure-A",** a statement on the directions issued by The Comptroller and Auditor General of India after complying with their suggested methodology of Audit, the action taken thereon and its impact on the accounts and financial statements of the Group.
2. Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, is not applicable on the consolidated Ind AS financial statements as referred in proviso to para 2 of the said order

AUDITORS' REPORT	MANAGEMENT'S REPLY

3. As required by section 143(3) of the Act, we report that:

   a. We have sought & obtained all the information & explanation which to best of our knowledge and belief were necessary for purpose of our audit of the aforesaid consolidated Ind AS financial statements read with as reported in clauses (a), (b), (c), (d), (e), (f) & (g) of the "Emphasis of Matters" paragraph above.

   b. In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated Ind AS financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.

   c. The reports on the accounts of the Holding company (including areas which are audited by branch auditors) audited by us and its subsidiary company incorporated in India audited under section 143(8) of the Act by other auditor have been sent to us and have been properly dealt with in preparing this report.

   d. The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated Ind AS financial statements.

   e. In our opinion, the aforesaid consolidated Ind AS financial statements comply with the Accounting Standards specified under Section 133 of the Act.

   f. In pursuance of the Notification No. G.S.R.463(E) dated 05.06.2015 issued by the Ministry of Corporate affairs, section 164(2) of the Act, pertaining to disqualification of Directors is not applicable to the Government company.

   g. With respect to the adequacy of internal financial controls over financial reporting of the Group and the operating effectiveness of such controls, refer to our separate report in **Annexure 'B'.**

   h. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:

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i. Pending litigations of the group has been disclosed under Additional Note 38 of the Consolidated Ind AS financial statement. The impact, if any, of these litigations will be given effect to as and when the same are determined/settled.	
ii. Provision has been made as required under the applicable law or accounting standards, for material foreseeable losses if any, on long term contracts including derivative contracts.	
iii. As per the written representation received from the management, there were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Group.	

For K.C.Tak & CO.
CHARTERED ACCOUNTANTS,
(Firm Registration No. 000216C)

(CA Anil Jain)
Partner
(M. NO. 079005)

Place: Ranchi.
Dated :20.07.2021
UDIN: 21079005AAAAAT8342

Annexure "A" referred to in paragraph 1 of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Consolidated Ind AS financial statements for the year ended March 31, 2021, we report that:

PART - I

AUDITORS' REPORT	MANAGEMENT'S REPLY
1. Whether the company has system in place to process all the accounting transactions through IT systems? If yes, the implication of processing of accounting transactions outside IT systems on integrity of the accounts along with the financial implications, if any may be stated	
The Group has a system in place to process accounting transactions through Coal Net/IT system that has been customized to integrate the various functional modules. The areas mostly covered in the applications are: Finance, Sales & Marketing, Payroll, Material Management, Personnel and others. However, full integration is not yet achieved for items such as: ***1. All calculations related to Fixed Assets are maintained in spreadsheet format.*** ***2. GST (RCM) and TDS are calculated manually during the bill payment to suppliers or contractors and subsequently entered in the IT system.*** ***3. Payroll system is not integrated with Accounts. Relevant entries are passed manually into accounting system.*** ***4. Sales module is not linked with dispatch of coal. Also, stock register for movement of coal is not processed through IT system.*** ***5. Schedules in respect of capital items are not integrated with Coal Net system and prepared and updated manually in excel form.*** ***Inadequacies in design of information technology systems have been reported in our report on the Internal Financial Controls.*** ***As informed by the management, the Group is in the process of implementing ERP that will integrate all operational process with financial module on real time basis to ensure seamless movement of data across different modules with minimum intervention. The Financial implications, if any, are unascertainable.***	All the accounting transactions are processed through Coal Net System
2. Whether there is any restructuring of an existing loan or cases of waiver / write-off of debts / loans / interest etc. made by a lender to the company due to the company's inability to repay the loan? If yes,	

	AUDITORS' REPORT	MANAGEMENT'S REPLY
	the financial impact may be stated. Whether such cases are properly accounted for? (In case, lender is a government company, then this direction is also applicable for statutory auditor of lender company)	
	There is no such case of restructuring of an existing loans or cases of waiver/write off of debts/loans/interest etc. made by a lender to the Group's inability to repay the loan during the year or any period of time, hence not applicable.	No Comments.
3	Whether funds received/receivable for specific schemes from central/state agencies were properly accounted for/utilized as per its terms and conditions? List the cases of deviation.	
	As per information and explanation given to us, Group has received reimbursement of the funds incurred under CCDAC scheme against the railway siding/road being constructed by EC Railways. The same has been properly accounted for and utilized as per the terms and conditions laid down by the Central Government.	No Comments.

PART- II

ADDITIONAL DIRECTIONS

AUDITORS' REPORT	MANAGEMENT'S REPLY
1. Whether coal stock measurement was done keeping in view the contour map. Whether physical stock measurement reports are accompanied by contour maps in all cases? Whether approval of the competent authority was obtained for new heap, if any created during the year. **As per information and explanation given to us, stock measurements are done as per guideline of CIL Annual Coal Stock Measurement keeping in view the contour map which is accompanied with the measurement report. Further, any new heap is created only after approval of the competent authority.**	No Comments.
2. Whether the company has conducted physical verification exercise of assets and properties at the time of merger/ split/re-structure of any area. If so, whether the concerned subsidiary followed the requisite procedure. **As per information and explanation and as represented to us, there is no such case of Split & merger/ re-structure of an area during the year,** ***except restucture of Magadh & Amrapali area into two separate Areas namely "Magadh & Sanghmitra Area" and "Amrapali & Chandragupt Area"; notification for which was issued on 31.10.2020 by Empowered Committee of Functional Directors (ECFD) of CCL and is under process.***	No Comments.
3. Whether separate escrow accounts for each mine has been maintained in CIL and its subsidiary companies. Also examine the utilization of the fund of the account. **As per information and explanation given to us, Escrow Account for 64 mines has been maintained and during the year, the CCL has received sum of Rs. 194.42 crores (P.Y.- Rs.77.35 crores) for mine closure activities after obtaining approval from the Coal Controller Office. However, Escrow account in respect of 2 mines namely Tapin South OC and Rajhara OC have not yet been opened.**	No Comments.
4. Whether the impact of penalty for illegal mining as imposed by the Hon'ble Supreme court has been duly considered and accounted for? **Pursuant to the order of the Hon'ble Supreme Court of India, District Mining Offices of Jharkhand had raised a demand of Rs. 13568.50 crores (PY Rs. 13568.50 crores) for mining in excess of the environmental clearances limit in 42 mines. Against the said demand, CCL has filed a revision petition before the Hon'ble Coal Tribunal, Ministry of Coal, Govt. of India, the adjudicating authority under the MMDR Act. The Revisional Authority vide its interim order dt.16.01.2018 has stayed the execution of the demand till further order. The said demand has not been acknowledged as debt and included under Contingent Liability in para 4(a)(I) of Note 38 of the Consolidated Ind AS financial statement**.	No Comments.

Annexure – "B" referred to in paragraph 3(g) of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Consolidated Ind AS financial statements for the year ended March 31, 2021, we report that; Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Subsection 3 of Section 143 of the Companies Act, 2013 ("the Act")

AUDITORS' REPORT	MANAGEMENT'S REPLY
In conjunction with our audit of the consolidated financial statements of the Company as of and for the year ended March 31, 2021, we have audited the internal financial controls over financial reporting of Central Coalfields Limited hereinafter referred as ("the Holding Company"), and considered reports of auditors of its subsidiary company its associates and jointly controlled entities, which are companies incorporated in India, as of that date.	
Management's Responsibility for Internal Financial Controls	
The respective Board of Directors of the Holding Company, its subsidiary company its associates and jointly controlled entities, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.	
Auditors' Responsibility	
Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute	

AUDITORS' REPORT	MANAGEMENT'S REPLY

of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures select depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Consolidated Ind AS financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Consolidated Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Consolidated Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Consolidated Ind AS financial statements.

AUDITORS' REPORT	MANAGEMENT'S REPLY

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2021, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

However, further improvement is required in i) the documentation of Internal Financial Controls of the Company in respect of its risk assessment process, risk analysis of different functional areas and incorporating the process flows at departmental levels including risk mitigation in respect of insurance coverage, ii) strengthening of the monitoring of controls in respect of expenses and fixed assets, confirmation/ reconciliation/adjustment of balances of loans, other financial assets, other current & non-current assets, trade payables, other financial liabilities and other current liabilities, iii) inadequate design of information technology system and application controls that prevent the information system from providing complete and integrated information consistent with financial reporting objectives.

Our opinion is not qualified in respect of the above matters.

For K.C.Tak & CO.
CHARTERED ACCOUNTANTS,
(Firm Registration No. 000216C)

(CA Anil Jain)
Partner
(M. NO. 079005)

Place: Ranchi.
Dated :20.07.2021
UDIN: 21079005AAAAAT8342

Form AOC – 1

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Statement containing salient features of the financial statement of Subsidiaries/associate companies/ Joint ventures

Part "A" : Subsidiaries

(Information in respect of each subsidiary to be presented with amounts in Rs. in Crores)

1.	Sl. No.	:	1
2.	Name of the Subsidiary	:	Jharkhand Central Railway Limited.
3.	The date since when subsidiary was acquired	:	31.08.2015.
4.	Reporting period for the subsidiary concerned, if different from the holding company's reporting period	:	NA.
5.	Reporting currency and Exchange rate as on the last date of the relevant Financial year in the case of foreign subsidiaries	:	NA
6.	Share Capital	:	Rs. 87.73 Crores
7.	Reserves & Surplus	:	Rs. 3.13 Crores
8.	Total Assets	:	Rs. 282.45 Crores
9.	Total Liabilities	:	Rs. 191.59 Crores
10.	Investments	:	—
11.	Turnover	:	—
12.	Profit before Taxation	:	Rs. 2.16 Crores
13.	Provision for Taxation	:	Rs. 0.88 Crores
14.	Profit after Taxation	:	Rs. 1.28 Crores
15.	Proposed Dividend	:	—
16.	Extent of Share holding (in percentage)	:	73.67 %

Sd/-
Company secretary

Sd/-
General Manager (F)

Notes

Central Coalfields Limited

A Miniratna Company

(A Subsidiary of Coal India Limited)

CIN : U10200JH1956G01000581

Regd. Office : Darbhanga House, Ranchi 834029 (Jharkhand)